

Profit Niti AI CFO Report

1. Big Picture — How the Business Looks Right Now

The business shows strong cumulative profitability with a YTD net profit of ₹23.5 Lakhs, but recent performance is a major concern. October 2025 saw a significant loss of ₹79,451, marking the first negative month in the period. The company is heavily reliant on long-term debt (₹92.4 Lakhs), which funds its operations and asset base. While gross margins are excellent (consistently above 88%), operating expenses are high and volatile, squeezing profitability. Cash flow from operations turned positive in October, but overall cash generation remains inconsistent.

GREEN FLAG BOX — What's Working Well:

- **Exceptional Gross Margins:** Consistently above 90%, indicating strong pricing power or very low direct costs relative to sales.
- **Strong Equity Growth:** Total Equity has grown from ₹4.97 Lakhs to ₹27.2 Lakhs, primarily driven by retained profits.
- **Healthy Liquidity Position:** Current and Quick Ratios are extremely high (13.36 in Oct), showing ample short-term assets to cover liabilities.

Overall Health Gauge: **CAUTION** (Strong fundamentals marred by a recent sharp loss and expense volatility).

Sales-Profit-Cash Trend: Sales peaked in July (₹18.5 Lakhs) but have since declined to ₹12.0 Lakhs in October. Profit followed a similar pattern, peaking in July (₹8.1 Lakhs) before turning negative. Cash flow from operations has been erratic, showing no consistent trend with the profit cycle.

🚩 RED FLAG BOX — What Needs Attention:

- ⚠️ **October Loss:** A net loss of ₹79,451 in October 2025 is a serious warning sign. Operating expenses (₹11.7 Lakhs) nearly consumed all gross profit (₹10.9 Lakhs).
- ⚠️ **High & Volatile Overheads:** SG&A expenses are high (97.5% of revenue in Oct) and fluctuating, making profitability unpredictable.
- ⚠️ **Heavy Debt Burden:** Total debt stands at ₹92.4 Lakhs, representing 77% of total liabilities and equity. This creates significant financial leverage and risk.

CFO Advice:

"Immediately conduct a deep-dive review of October's operations to identify the specific drivers behind the loss and surging overheads. You must stabilize expenses to protect your excellent gross margins and return to profitability. Concurrently, develop a plan to reduce reliance on debt for long-term financial health."

2. Profit Power — The Earning Engine

The core earning engine is powerful on the revenue side but is being sabotaged by the cost structure. **Gross Profit Margins** are stellar, averaging ~94% across the period. This suggests the core product/service is highly profitable. However, the **Operating Profit Margin** tells a different story, swinging wildly from a high of 44% in July down to -6.6% in October. The primary culprit is **Selling, General & Administrative Expenses (SG&A)**. These overheads are not only high but are also growing disproportionately in low-revenue months (like October), completely eroding the gross profit. There is no significant depreciation or interest cost, meaning the profit challenge is purely operational.

CFO Advice:

"Implement strict budgetary controls on SG&A expenses immediately. Classify them into fixed and variable components. Challenge every cost in the 'Other Current Assets' and 'Suspense' accounts (totaling ~₹14.9 Lakhs) to ensure they are necessary and not obscuring operational waste."

3. Cash Management — The Lifeblood

Cash flow is unstable and not consistently tied to profitability. While the **Cash and Bank balance** has remained relatively stable (₹18.1 Lakhs in Oct), it is being propped up by financing activities (new debt). **Cash Flow from Operations (CFO)** was strongly positive in October (₹7.3 Lakhs) due to a reduction in receivables, but was negative in the three prior months. The business has a long **Accounts Receivable Days** cycle (98 days in Oct), meaning it takes over 3 months to collect cash from sales. Conversely, **Accounts Payable Days** have shortened significantly (from 218 to 96 days), meaning you are paying suppliers faster, which strains cash.

CFO Advice:

"Aggressively focus on reducing the Receivables collection period to under 60 days. Negotiate better payment terms with suppliers to align payables more closely with your receivables cycle, improving your net working capital position."

4. Capital & Financing — The Foundation

The business is built on a foundation of debt. **Total Debt (₹92.4 Lakhs)** is 3.4 times the size of **Total Equity (₹27.2 Lakhs)**, indicating high financial leverage. While the **Debt to Equity ratio has improved** from 19.6 to 3.4, it remains risky. The company is consistently investing in **Fixed Assets** (Capex), with a significant ₹2.2 Lakhs spent in October. Returns are volatile; **Return on Equity (ROE)** was an impressive 436% in July but crashed to -35% in October, showing how leverage amplifies both gains and losses.

CFO Advice:

"Halt any non-essential capital expenditure until profitability is restored. Use future profits to pay down the high-cost unsecured borrowings (₹77 Lakhs) rather than funding growth through more debt, to de-risk the balance sheet."

□ Final Summary

"You have a potentially highly profitable business model being undermined by uncontrolled overheads and excessive debt—address the October loss and cost structure with urgency to unlock sustainable growth and financial stability."

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